CFA Institute Research Challenge hosted in Vietnam

University of Economics and Law

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ASIA COMMERCIAL JOINT STOCK BANK

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Valuation date: Nov-30-25 | Ticker: ACB

Industry: Financial Institutions

Ho Chi Minh City Stock Exchange (HOSE)

BUY + 27,79%

Current: VND 24.250 | Target price: VND 30.990

Table 1. Market profile

Market Profile	
Closing price (VND)	24.250
52-week price range (VND)	18.216 - 29.450
P/B	1.37
Shares Outstanding	5,136,656,599
Market Capitalization (VND bn)	124,563.92

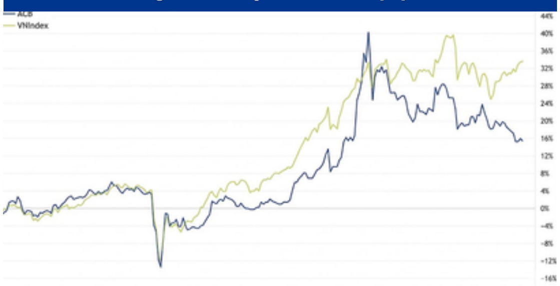
Source: ACB, Vietstock

Table 2. Forecasting summary

	2026F	2027F	2028F	2029F	2030F
PPOP (VNDbn)	28,713	33,087	38,291	44,365	51,940
PBT (VNDbn)	26,478	30,754	35,827	41,786	48,997
NIM	2.83%	2.84%	2.86%	2.87%	2.95%
NPL	1.10%	1.00%	0.90%	0.80%	0.80%
CIR	30.00%	30.00%	29.50%	29.00%	29.00%
ROAE	20.42%	20.35%	20.34%	20.36%	20.48%
ROAA	1.95%	1.96%	1.98%	2.01%	2.04%

Source: Team analysis

Figure 1. Share price movements [%]



Source: Fireant

Table 3. Valuation summary

VALUATION	Base Case
Residual Income (50%)	29,198
P/B (50%)	32,781
Target Price	30,990
Upside	27.8%
Recommendation	**BUY**

Source: Team analysis

INVESTMENT SUMMARY

We initiate ACB with a BUY rating and a one-year target price of VND 30,990 – representing a 27.8% upside to the current share price of VND 24,250. Asia Commercial Joint Stock Bank (HOSE: ACB) is a leading private commercial bank in Vietnam, traditionally recognized for its strong franchise in the retail and SME segments. Currently, the bank is executing a strategic pivot toward Large Corporate clients to unlock new credit growth engines. ACB's prudent management approach stands out in a volatile macroeconomic backdrop, underpinned by agile NIM management and best-in-class asset quality. Furthermore, despite its resilient business model, the stock offers an attractive valuation discount relative to its superior return profile and historical averages

INVESTMENT HIGHLIGHTS

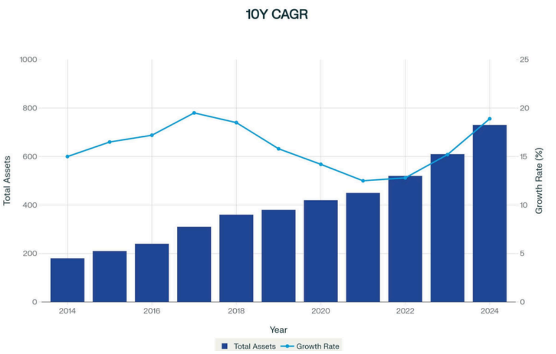
[1] Strategic pivot: unlocking new growth pillars in large Corporate & FDI:
While historically dominant in retail banking, ACB has successfully diversified its credit engine to navigate retail saturation. New growth engines: by leveraging Vietnam's position in global trade, ACB is aggressively capturing the Foreign Direct Investment (FDI) and Large Corporate (MMLC) segments. In 2024, credit to large corporates surged (growing ~25% YoY), significantly outpacing the industry average. This pivot is not merely for volume; it integrates deeply with supply chain financing and transaction banking, creating a sticky ecosystem for low-cost deposits. Sustainable credit expansion: We project a credit CAGR of 18.5% (2025F-2030F), driven by this dual-engine strategy (retail recovery + corporate expansion). This structural shift allows ACB to maintain high single-digit to low double-digit growth even when household consumption faces headwinds.

[2] Best-in-class asset quality: a "fortress" balance sheet
The bank remains the "safest" bank in our coverage universe, adhering to a strict "low risk - high return" philosophy. Superior asset quality: The bank consistently maintains one of the lowest non-performing loan (NPL) ratios in the sector (0.92%-1.18% range forecast for 2025F), significantly below the industry average of ~1.5-2.0%. This is underpinned by zero exposure to corporate bonds and negligible exposure to high-risk real estate developers. Prudent provisioning: ACB maintains a healthy loan loss reserve (LLR) buffer. We forecast this ratio to recover to above 100% by 2029F, ensuring earnings resilience against any potential asset quality shocks.

[3] Operational Excellence with digital efficiency driving CASA & ROE
ACB's relentless focus on digital transformation is translating into tangible financial metrics. CASA recovery: The "ACB ONE" digital ecosystem and "Zero Fee" campaigns have successfully reversed the cost-of-funds pressure. We expect the CASA ratio to improve towards 25% in 2025, optimizing the bank's funding cost structure. Top-tier profitability: The bank's lean operating model (cost-to-income ratio ~33%) and high asset turnover consistently deliver a return on equity (ROE) above 20%, placing it in the top tier of Vietnamese banks for shareholder value creation.

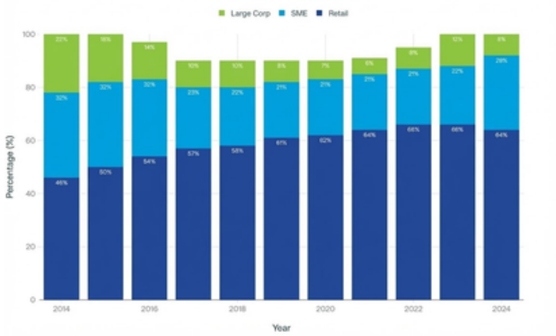
[4] Valuation
Our valuation methodology employs a weighted average of the Residual Income Model and the P/B method multiple, assigning an equal 50% weighting to each. We prioritize the Residual Income Model over traditional approaches such as DCF or EV/EBITDA, as the latter are often ill-suited for financial institutions due to the inherent difficulty in separating operating and financing cash flows. Concurrently, we utilize the P/B multiple for our relative valuation. We believe the book value of equity serves as a reliable proxy for intrinsic value in the banking sector, given that a significant portion of a bank's assets and liabilities are liquid and periodically marked to market.

Figure 2. ACB total asset growth over the last 10 years



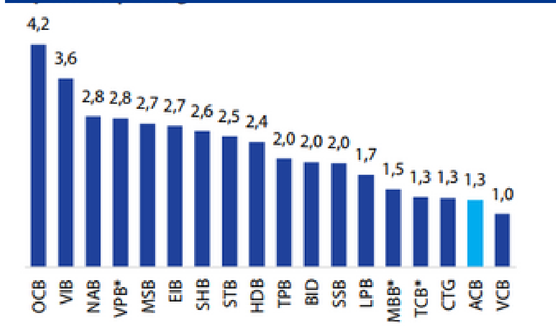
Source: ACB, VDSC

Figure 3. Loan composition by customer segment



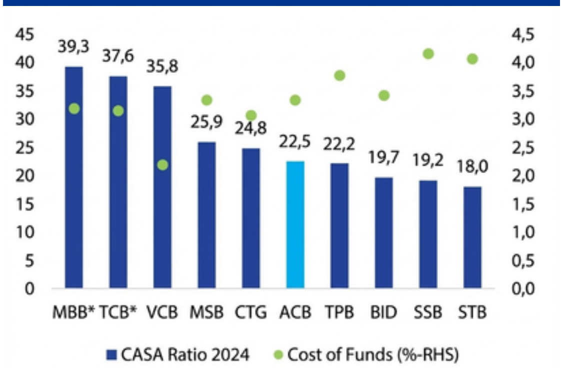
Source: ACB, VDSC

Figure 4. ACB among the banks with the lowest NPL ratios in the system



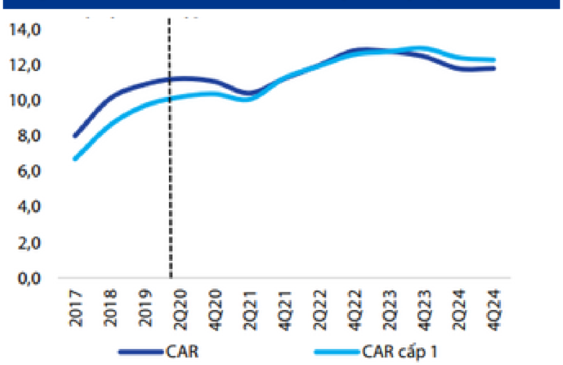
Source: VDSC

Figure 4. Top 10 banks by CASA ratio in 2024



Source: VDSC

Figure 5. Evolution of ACB's consolidated capital adequacy ratio (CAR)



Source: ACB, VDSC

BUSINESS DESCRIPTION

Asia Commercial Joint Stock Bank (ACB, HSX: ACB) is one of Vietnam's leading joint stock commercial banks, built on a deliberately conservative franchise that prioritises prudence, stability and superior asset quality over short term balance sheet expansion. Headquartered in Ho Chi Minh City and operating across 49 provinces, ACB has grown total assets to around VND 864 trillion as of end 2024, with a franchise that is particularly strong in the southern economic hubs. The bank is managed around five core values: Integrity, Prudence, Innovation, Harmony and Efficiency. These translate into a business model focused on sustainable, long term profitability and disciplined risk management rather than opportunistic growth. The scale and consistency of balance sheet expansion are illustrated in Figure 2, which shows ACB's total asset growth over the last 10 years.

A prudent retail and SME focused universal bank with a highly collateralised loan book

ACB operates as a universal bank, but its balance sheet remains anchored in retail and SME lending. Historically, retail loans have accounted for more than 90% of the loan book, reflecting deep penetration into affluent and mass affluent households, household businesses and small entrepreneurs. The bank maintains one of the most conservative risk profiles in the system. The stand alone NPL ratio, excluding CIC reclassification, was 1.39% at end 2024, placing ACB among the best performers in Vietnam on asset quality. This is underpinned by a highly secured portfolio: roughly 96% of total loans are backed by collateral, of which 84–86% is real estate. Low average loan to value ratios and extensive collateral coverage support strong recovery prospects and explain the bank's consistently superior asset quality metrics. Figure 3, which shows that individual customers accounted for the largest share of the loan portfolio in 2024 (around 64%), reinforces ACB's positioning as a retail led franchise with a highly secured loan book, while Figure 4 confirms that ACB remains in the group of banks with the lowest NPL ratios in the system as of the second quarter of 2025.

Stable low cost funding and an increasingly diversified earnings base

On the liability and revenue side, ACB combines a stable low cost funding base with a gradually more diversified earnings mix. Total customer funding reached about VND 639 trillion in 2024, up 19.4% year on year, while the CASA ratio improved to 23% at year end from 22.2% in the third quarter, giving the bank a structural cost of funds advantage and supporting net interest margin resilience through the cycle; ACB is also embedding itself more deeply into clients' day to day financial flows via integrated digital solutions for household businesses and SMEs, an approach that helps anchor CASA and deepen cross sell. Figure 5, which ranks ACB among the top 10 banks in Vietnam by CASA ratio in 2024, corroborates the view that its funding profile is both granular and low cost. At the same time, although net interest income still contributes roughly 80% of Total Operating Income, ACB is institutionalising non interest income through a 15 year exclusive life bancassurance partnership with Sun Life Vietnam, the expansion of ACB Securities (ACBS) into a top five broker by charter capital, and stronger trading and recovery income, with foreign exchange trading up 57% year on year in the second quarter of 2025 and recoveries from written off loans up 112% in the first half of 2025. Strategically, management targets to lift net fee income to more than 20% of total income by 2030, moving towards a more diversified and resilient earnings mix.

Strategic pivot towards wholesale banking supported by strong capital and technology led transformation

From 2025–2030, ACB is shifting from a predominantly retail bank to a more balanced universal model with stronger wholesale capabilities, targeting major corporates and FDI so that corporate loans grow about 21% per year versus roughly 17% in retail, while maintaining ROE above 20%, CASA above 30% and net fee income above 20% of total income by 2030. The pivot is supported by around 35 million US dollars of annual IT investment, a VND 500 billion Technology Fund and the DNA core banking platform, with capital strength underpinned by full Basel II, phased Basel III and a consolidated CAR expected to stay above 12% at end 2024, comfortably above the 8% minimum and consistent with Figure 3.

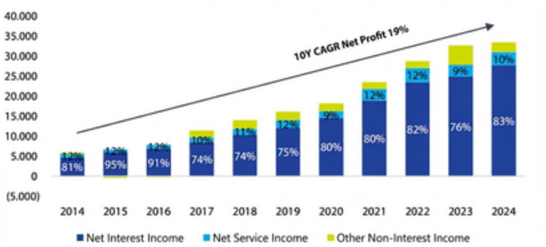
Figure 6. Corporate loan growth versus retail loan growth in recent years

Source: VDSC

Figure 7. Corporate loan growth versus retail loan growth in recent years

Source: VDSC

Figure 8. Total operating income and contribution of net interest income over the last 10 years



Source: VDSC

Figure 9. Composition of non-interest income and NFI/TOI ratio over the last 10 years

Source: VDSC

Figure 10. Operating expenses have been well controlled over the past 5 years

Source: VDSC

COMPANY STRATEGY

Overarching strategy: scaling prudently with superior asset quality

ACB's 2025–2030 strategy is built around the same core principles that have defined its franchise over the last decade: prudence, superior asset quality and disciplined capital management. Management aims to deliver "breakthrough growth" in loans and earnings while preserving a low risk profile, underpinned by tight control of non-performing loans, conservative collateral practices and a solid capital buffer. Concretely, the bank targets credit growth of around 18.5% per year in 2025–2030, while keeping return on equity above 20%, lifting the CASA ratio to above 30% and increasing the net fee income contribution to more than 20% of total income by 2030. This combination positions ACB as a growth bank, but one that is designed to be resilient across the credit cycle rather than reliant on aggressive risk taking.

Rebalancing the loan book: strengthening wholesale while deepening the retail and SME ecosystem

The first pillar is to structurally rebalance the loan book. ACB is moving from a predominantly retail bank to a more balanced universal model by scaling lending to major corporates and FDI clients in export–import and industrial park ecosystems, with corporate loans expected to grow about 21% per year in 2025–2030 versus roughly 17% in retail, so that wholesale becomes a second growth engine alongside the core retail and SME franchise. At the same time, ACB is deepening its role with SMEs and household businesses as an embedded partner through integrated digital solutions such as e-invoicing, digital signatures and tax-linked payment accounts, which are designed to capture primary transaction accounts and support the CASA target above 30%. Figures 7 and 8 – which show ACB's structurally high credit growth versus the system and the recent step-up in corporate lending – illustrate that this rebalancing is already underway.

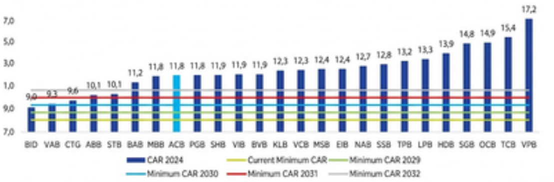
Diversifying and institutionalising non-interest income

The second pillar is to make ACB's earnings mix more resilient by scaling fee-based and market-related income on top of a still dominant net interest income base of around 80% of total operating income. ACB is leveraging its 15-year exclusive life bancassurance partnership with Sun Life Vietnam, which provided an upfront payment of about 90 million US dollars, and expanding capital markets income through ACB Securities (ACBS), whose charter capital has risen to VND 11,000 billion, placing it among the top five securities firms in Vietnam and enabling growth in margin lending, proprietary trading and advisory services. Additional fee flows come from stronger foreign-exchange trading and higher recoveries on written-off loans, supported by ACB's high level of collateralisation. Management targets net fee income of more than 20% of total income by 2030, with Figures 9 and 10 illustrating how total operating income remains NII-led but shows a rising contribution from non-interest revenue streams.

Technology, efficiency and disciplined risk governance as structural enablers

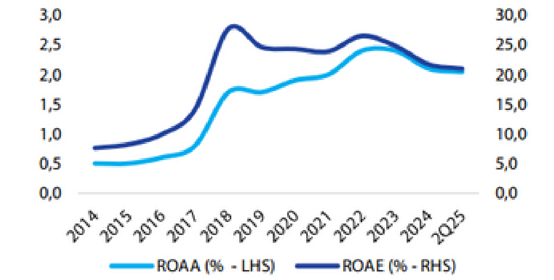
The third pillar is to build technology, efficiency and risk governance that allow ACB to scale without diluting prudence. The bank invests about 35 million US dollars per year in IT and has created a VND 500 billion Technology Fund, with migration to the DNA core banking platform enabling higher processing capacity, scalability and digital offerings such as ACB ONE Connect for SMEs and merchants. These investments are paired with strict cost control: the cost-to-income ratio has improved from roughly 52% in 2019 to around 33% in 2024, with further gains expected as digital channels expand, as illustrated by Figure 11 on operating expenses and CIR dynamics. In parallel, ACB has fully implemented Basel II, is phasing in Basel III, keeps non-performing loans contained while rebuilding coverage from 77.9% in 2024 towards a medium-term target above 100%, maintains exceptionally high collateralisation and is rolling out a 2025–2030 ESG roadmap to shift from pure compliance to value-creation and reinforce its positioning as a safe, well-governed private-sector bank.

Figure 11. Capital adequacy ratios (%) of banks as of the end of 2024 and the minimum requirements under Circular 14's roadmap



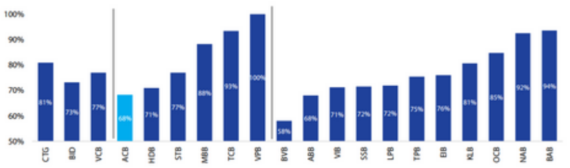
Source: VDSC

Figure 12. ACB's ROAA and ROEA ratios



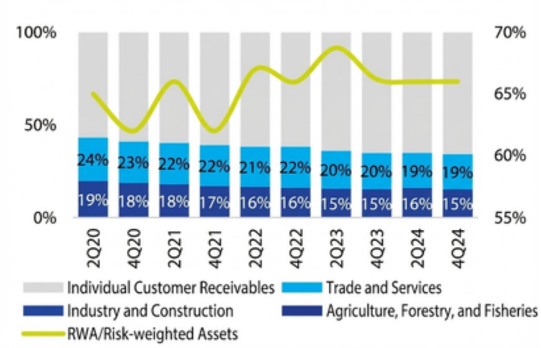
Source: VDSC

Figure 13. Credit risk-weighted assets to total assets ratios of selected listed commercial banks in 2024



Source: VDSC

Figure 14. ACB's risk-weighted asset composition and risk coefficients



Source: VDSC

CORPORATE GOVERNANCE

Governance framework and external assessment

To assess ACB's overall governance quality, we apply the Observance of OECD Corporate Governance Principles in line with the ASEAN Corporate Governance Scorecard (ACGS). On this basis, ACB is assessed as having "Good to Excellent" corporate governance quality, consistently outperforming the Vietnamese market average. The bank has previously recorded a score of 64.59% under the ASEAN CG Scorecard and has since progressed into the regional leadership group, being recognised among the Top 50 ASEAN Publicly Listed Companies and Top 5 PLCs in Vietnam. This reflects strength in board structure, shareholder rights, disclosure and transparency, and fulfilment of board responsibilities. Governance quality is further reinforced by a fully utilised 30% foreign ownership limit (FOL), with a diversified base of institutional investors that effectively "import" higher standards of risk, capital and disclosure discipline into the bank, consistent with ACB's solid regulatory capital position relative to peers shown in Figure 12.

Board of Directors: experience, stability and insider tilt

The Board of Directors for the 2023–2028 term is characterised by deep institutional memory and sector expertise. Most members have multi-decade tenures at ACB or within the Vietnamese banking system, which supports strategic continuity and effective oversight through multiple credit and macro cycles. The Board includes independent directors, which helps mitigate the risk of an insider-dominated structure and provides formal checks and balances. At the same time, the board still carries an "insider tilt", as several directors previously held (or still hold) senior executive positions within the group and some members have multiple external mandates. This creates a theoretical risk of groupthink and workload constraints, although the presence of dedicated Audit and Risk Committees and the addition of independent members partially offset these concerns.

Board of Management: long-tenured execution and leadership transition

ACB's Board of Management is a long-tenured and internally grown team, with most executives having over 15 years of banking experience and many joining the bank in the 1990s. This continuity has been a key asset in executing ACB's prudent strategy, navigating the post-2012 restructuring, the COVID-19 shock, and the 2022–2024 bond and real-estate stress without major dislocation. Recent leadership transitions have strengthened the separation between oversight and execution. Notably, the former CFO/Chief Accountant moved to the Board and subsequently relinquished executive finance roles, while a new Chief Accountant was appointed in 2024 and the CFO role was further professionalised. These changes address earlier conflict-of-interest concerns and align ACB more closely with international best practice, where the "maker" (management) and "checker" (board) functions are clearly separated, and are reflected in the bank's sustained ROAE and ROAA profile over time as shown in Figure 13.

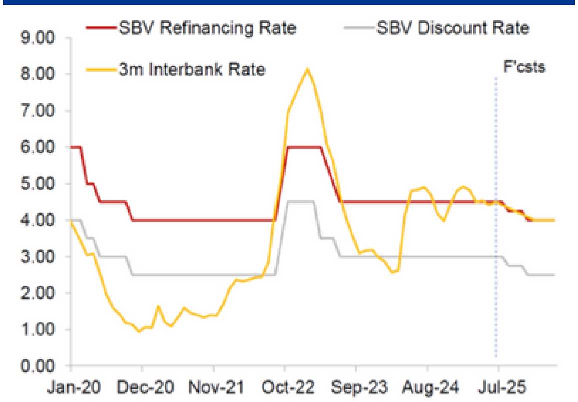
Shareholder structure, minority protection, CSR and ESG

ACB's shareholder base combines a fully utilised 30% foreign block with increasingly consolidated domestic control around the Chairman's ecosystem, which supports strategic stability and long-term alignment but heightens classic principal–principal risks that are partly mitigated by super-majority and nomination rights in the charter, while the bank's long-standing CSR record, its 2025–2030 ESG roadmap and its relatively low and stable risk-weighted asset intensity and credit-risk asset share versus peers (Figures 14 and 15), together with early completion of Basel II, Basel III and ILAAP, reinforce its positioning as a safe, well-governed private-sector bank with strong access to domestic and international capital.

Figure 15: GDP Vietnam and ASEAN (%)

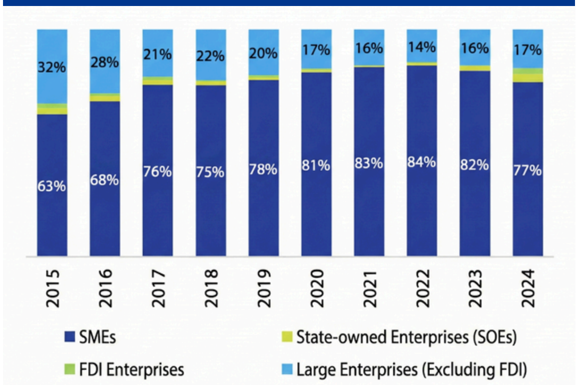
Source: Team analysis

Figure 16: Key policy rates



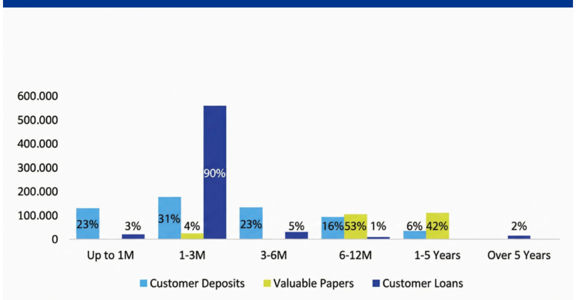
Source: Bloomberg, CEIC, MUFG GMR

Figure 17: Loan Portfolio Structure by Enterprise Type



Source: Team analysis

Figure 18: Loan & Deposit Structure by Interest Rate Reset Period (Q2 2025)



Source: Team analysis

INDUSTRY OVERVIEW

Macro Backdrop: Intrinsic Resilience Against Structural Headwinds

In 2024, Vietnam's economy demonstrated robust resilience against external shocks, recording a Gross Domestic Product (GDP) growth of 7.09%, far exceeding the National Assembly's target of 6.0 – 6.5%. This recovery was not merely cyclical but reflected a significant structural shift, driven primarily by the rebound of the manufacturing and export processing sectors, alongside decisive fiscal stimulus measures from the Government. However, moving into 2025, the macroeconomic outlook is poised for deep divergence. Despite an ambitious GDP growth target of 8% or higher, exogenous challenges such as the slow recovery of the global economy, competitive pressure in key export markets, and rising non-tariff trade barriers are intensifying. For the banking system, this creates a complex "risk matrix": the pressure to maintain high credit growth (approximately 15% system - wide) to support the economy, whilst strictly controlling asset quality in a context where corporate health has not fully recovered. Another critical macro factor impacting banks' Balance Sheets is the interest rate and inflation environment. In 2024, average inflation (CPI) was controlled at 3.63%, well below the 4.0 – 4.5% ceiling, providing room for the State Bank of Vietnam (SBV) to maintain a loose monetary policy to support liquidity. However, with 2025 inflation projected to rise to 4.5 – 5.0%, pressure on the Cost of Funds (COF) will intensify. In this context, banks with healthy funding structures and high CASA (Current Account Savings Account) ratios will hold a superior competitive advantage in defending their Net Interest Margins (NIM).

The Trade-Finance Nexus: Strategic Realignment

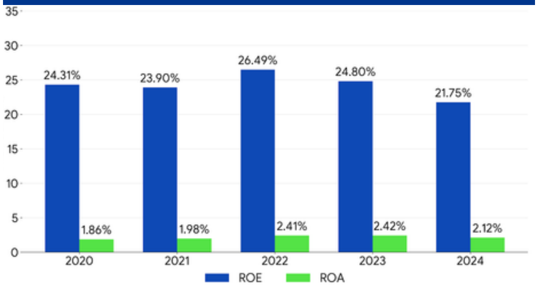
Vietnam, with its highly open economy, is positioning itself as a critical link in the global supply chain. Foreign Direct Investment (FDI) inflows and import-export activities are not only drivers of GDP growth but also a new "gold mine" for Wholesale Banking services. FDI enterprises and large domestic conglomerates participating in this value chain require financial solutions more complex than pure credit, including Trade Finance, international settlements, and Cash Management. This shift explains the strategic repositioning of leading banks, including ACB. No longer solely focused on Retail Banking, ACB is executing a strategic pivot towards large corporate clients and FDI enterprises, leveraging the economy's strength in trade. This is a rational move to diversify revenue sources and mitigate concentration risk, while simultaneously exploiting massive transaction flows to improve CASA. Deep analysis shows that this strategy will not only help ACB expand its credit scale with a projected CAGR of 21% for the corporate segment (2025 – 2030) but also facilitate deeper integration into the client's financial ecosystem.

Credit Dynamics: Portfolio Rebalancing & The Wholesale Pivot

The banking sector is transitioning from "growth based on scale" to "growth based on efficiency." While the system-wide credit growth target for 2025 remains at 15% (matching 2024's ~15.08%), the quality of growth is the core issue. The 2018 – 2022 period was driven by retail and real estate; however, with the real estate market facing volatility and consumption slow to boom, capital flows are trending towards production and large enterprises.

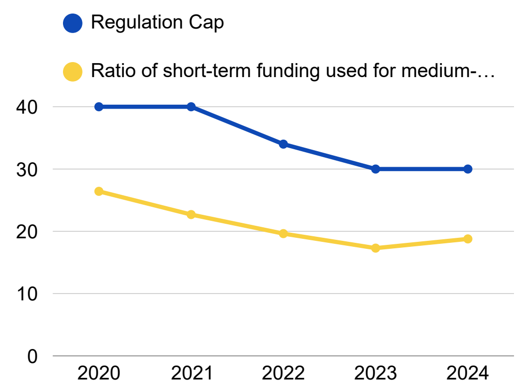
For ACB, total credit growth is projected to reach a CAGR of 18.5% (2025 – 2030), outperforming the industry. Notably, the structure of this growth reveals a shift in Risk Appetite: corporate credit is expected to grow by 21%, surpassing the 17% growth of retail credit. This indicates a strategic move from relying on the absolute safety of real estate collateral to assessing corporate operating cash flows, capturing the wave of GDP growth and policy support for the private sector.

Figure 19: Profitability Metrics: ROA and ROE (2020–2024)



Source: Team analysis

Figure 20: Ratio of Short-Term Funds Used for Medium- and Long-Term Loans vs Regulatory Cap by Year



Source: Team analysis

Table 4. Porter's Five Forces

Force	Intensity
Competitive Rivalry	High
Buyer Power	High
Supplier Power	Medium-high
Threat of Substitutes	Medium
Threat of New Entrants	Low

Table 5. SWOT analysis

STRENGTHS	WEAKNESSES
• Best-in-class Asset Quality • High Efficiency • Retail Dominance	• Conservative Growth • Concentration Risks • Limited IB
• Wholesale Pivot • Digital Upside • Valuation Re-rating	• NIM Compression • Regulatory Tightening • Intense Competition
OPPORTUNITIES	**THREATS**

COMPETITIVE POSITIONING

A Prudent & Efficient Fortress: Built on Quality and Retail Dominance

ACB distinguishes itself in the Vietnamese banking landscape as a "Prudent & Efficient Fortress," balancing safety with high-growth potential. Unlike competitors trading asset quality for aggressive expansion, ACB maintains the industry's cleanest balance sheet while delivering a sustainable ROE consistently above 20%. This resilience rests on four pillars: an impenetrable asset quality fortress, a deep retail franchise, "Digital First" efficiency, and a strategic pivot to Wholesale Banking.

Asset Quality as a Competitive Moat ACB's risk management culture creates immunity to sector-wide volatility. The bank strictly maintains zero exposure to corporate bonds, and 98% of its loan portfolio is secured by collateral. This prudence is reflected in a controlled NPL ratio of ~1.1% (2024E), significantly lower than the industry average of 2–3%. Combined with a robust Loan Loss Reserve (LLR) buffer, ACB solidifies its reputation as a "safe haven," attracting stable, low-cost retail funding even during market turbulence.

A Durable "Cash Machine": Profitability & Digital Efficiency

ACB demonstrates remarkable earnings resilience, projected to maintain an ROE of ~20.35% over the next 5 years. This stability stems from a diversified portfolio and a competitive Cost of Funds (CoF). Rather than engaging in destructive deposit price wars, ACB leverages brand equity to attract sticky CASA.

Operationally, the "Digital First" strategy is optimizing costs by decoupling revenue growth from headcount. While profit is forecast to grow at a CAGR of ~19% (2026F–2030F), operating expenses remain controlled through automation. Consequently, the Cost-to-Income Ratio (CIR) is maintained at an optimal 33–35%, creating room to reinvest in the ecosystem without eroding margins.

New Growth Engine: The Wholesale Pivot

Recognizing retail saturation, ACB is pivoting to the Large Corporate and FDI sectors. This is a diversification play to drive non-interest income via trade finance and FX services. By leveraging a B2B2C approach, ACB penetrates the ecosystems of anchor clients (employees, suppliers) to boost CASA. With Corporate Banking credit projected to grow at a CAGR of 21% (2025F–2030F), this segment is becoming a dual engine alongside traditional retail.

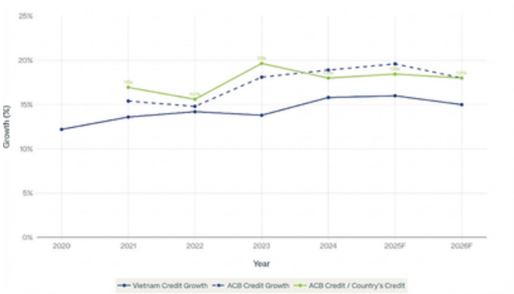
Porter's Five Forces: Strategic Positioning

Rivalry & Buyer Power: The sector is a "Red Ocean." Facing giants like Vietcombank (low CoF) and tech-savvy peers like Techcombank, ACB competes not on price, but on trust. For retail, the "Safest Bank" brand mitigates price sensitivity. For corporate clients, ACB bundles services (payroll, FX) to increase switching costs, accepting thinner short-term NIMs for long-term ecosystem integration.

Supplier Power (Depositors & Talent): While depositors are yield-sensitive, ACB's stability attracts risk-averse capital (validated during the SCB incident). Regarding talent, ACB retains staff through culture and career progression rather than just compensation.

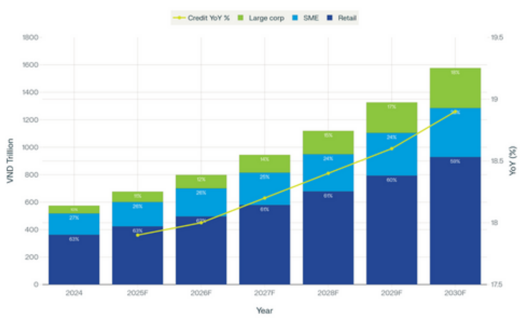
Threats (Substitutes & New Entrants): ACB manages the Fintech threat through "Coopetition," integrating the ACB ONE platform with e-wallets. Meanwhile, high barriers to entry (Basel standards, trust capital) keep the threat of new entrants Low.

Figure 21. Techcombank and Vietnam Credit Growth [%]



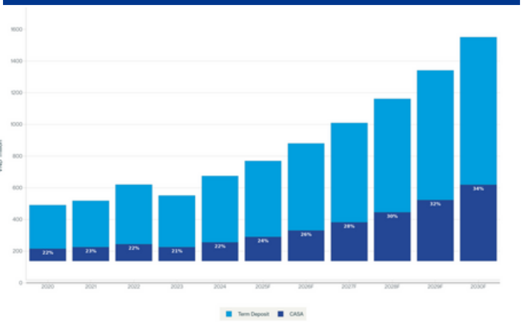
Source: ACB, Team analysis

Figure 22. Credit Mix (2025F-2026F) [VND Billion]



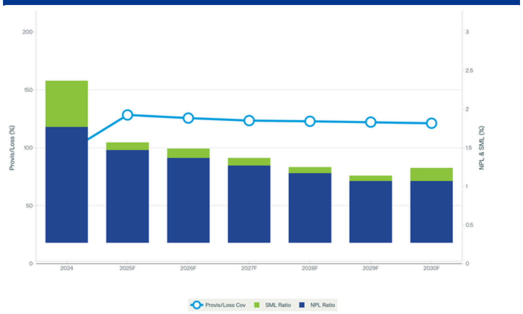
Source: ACB, Team analysis

Figure 23. Term Deposit Mix (2020F-2030F) [VND Billion]



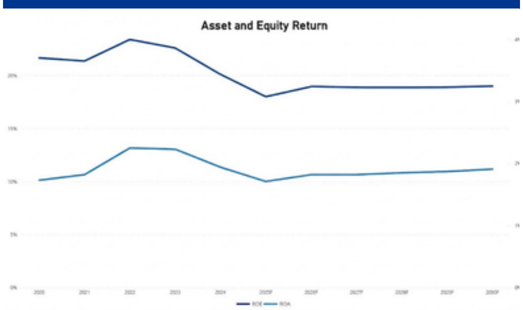
Source: ACB, Team analysis

Figure 24. NPL ratio & Provisions / LLR [%]



Source: ACB, Team analysis

Figure 25. Asset and Equity Return



Source: ACB, Team analysis

FINANCIAL ANALYSIS

ASSETS AND LIABILITIES MANAGEMENT

Robust credit growth driven by corporate expansion: We project ACB's credit growth to accelerate to 17.2% in 2025F and stabilize at a high 16.5% CAGR through 2030F, outpacing the industry average. This robust expansion is underpinned by a strategic pivot from a pure-retail model to a balanced "Retail + Wholesale" engine. As illustrated in Figure 29, while the retail segment remains the bedrock of the portfolio, its contribution to total loans is forecast to moderate from 62% in 2025 to 57% by 2030. This deceleration reflects a saturated household lending market and ACB's prudent risk appetite in the consumer sector

The rise of the wholesale engine: To offset retail normalization, ACB is aggressively expanding its footprint in the Large Corporate (MMLC) and FDI segments. We forecast the wholesale book to surge at a ~30% CAGR, effectively doubling its share of the loan portfolio from 11% in 2025 to 19% by 2030. This shift is not merely about volume; it allows ACB to capture high-quality credit demand from Vietnam's booming manufacturing and export sectors, diversifying risk concentration away from individual borrowers.

CASA recovery as a key enabler: On the funding side, we anticipate a strong recovery in the CASA ratio, climbing from 22.4% in 2024 to ~23.0% in 2025F and targeting 28% by 2030. This improvement is driven by the bank's comprehensive digital banking ecosystem (ACB ONE) and the "Main Operating Bank" strategy for corporate clients, which captures low-cost operating cash flows. A higher CASA base is critical to defending Net Interest Margins (NIM) against the yield dilution from the lower-yielding corporate loan book, ensuring that the pursuit of scale does not compromise profitability.

Conclusion: ACB's asset-liability structure is evolving to become more resilient and diversified. By successfully activating the wholesale banking engine while maintaining a solid low-cost funding base, ACB is well-positioned to deliver sustainable double-digit growth, validating its status as a high-quality, growth-oriented financial institution.

ASSET QUALITY

Prudent risk management to build a fortress balance sheet: ACB maintains a highly disciplined approach to asset quality, which we project will result in a steady improvement in the Non-Performing Loan (NPL) ratio from 1.18% in 2025F down to 0.95% by 2030F. This trend reflects the bank's rigorous credit underwriting standards as it expands into the lower-risk Large Corporate and FDI segments, effectively diversifying its loan portfolio away from purely retail risks. To reinforce this stability, our model incorporates a conservative provisioning strategy where provision expenses grow at 20% p.a., outpacing credit growth. This deliberate "front-loading" of provisions is designed to aggressively rebuild the Loan Loss Reserve buffer, elevating the coverage ratio from ~85% in 2025F to a robust >100% by 2029F. This strategy creates a significant safety margin against potential macro volatility and establishes a hidden profit reserve that can be released in future periods, solidifying ACB's position as one of the safest banks in the system.

ROE DECOMPOSITION

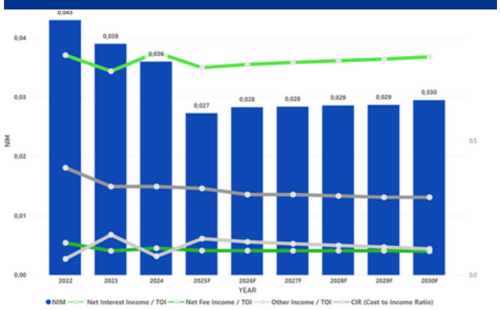
Sustainable high returns driven by core operational efficiency: we forecast ACB to deliver a sustainable ROAE of ~20.1% in 2025F, maintaining levels above 20% throughout the forecast period. A DuPont analysis reveals that this superior profitability is not driven by excessive financial leverage but by strong underlying fundamentals:**[a]** Net profit margin: Is supported by a resilient (NIM) recovery and a diversifying non-interest income stream, ensuring healthy bottom-line growth. **[b]** Asset Turnover: Remains efficient as the bank optimizes its asset mix towards higher-yielding corporate loans and liquid assets.**[c]** Financial leverage: The equity multiplier is kept at a prudent level, reflecting a high-quality earnings profile derived from core banking activities rather than financial engineering. This decomposition confirms that ACB's high ROE is structurally sound and sustainable, justifying a valuation premium relative to peers with lower quality earnings.

EARNINGS PERFORMANCE

Figure 26 . TOI [VND Billion]

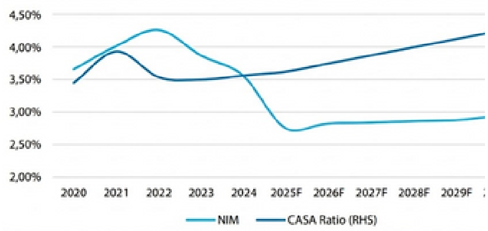
Source: ACB, Team analysis

Figure 27 . Profitabilities [%]



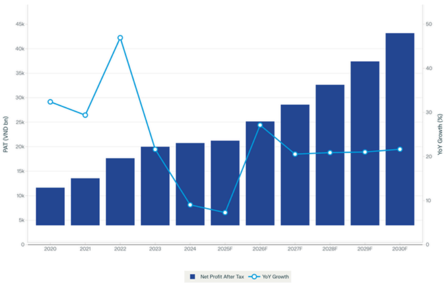
Source: ACB, Team analysis

Figure 28 . NIM and CASA [%]



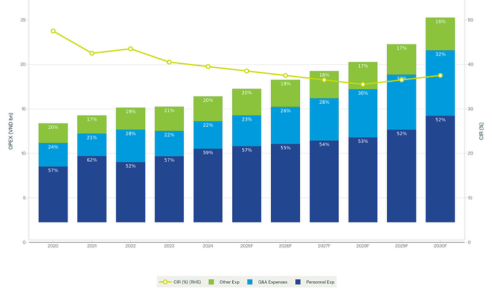
Source: ACB, Team analysis

Figure 29. Profit after tax [Billion VND]



Source: ACB, Team analysis

Figure 30. Operating expenses [Billion VND]



Source: ACB, Team analysis

Net Interest Income (NII) to grow at a robust CAGR of 17.4% (2025F–2030F), driven by volume expansion despite NIM compression: We project NII to rebound strongly with a 20.1% surge in 2026F before stabilizing at a sustainable ~16% growth rate. This trajectory is underpinned by two opposing forces:

[1] Volume-driven growth strategy: The aggressive expansion into the Large Corporate and FDI segments (projected loan growth of ~17.2%) acts as the primary engine, compensating for thinner margins. While this wholesale pivot initially dilutes asset yields, it ensures steady revenue streams in a competitive market.

[2] NIM resilience through funding optimization: We forecast NIM to bottom out at 3.15% in 2025F due to competitive lending rates, then gradually recover to 3.3%–3.4% by 2027F. This recovery is fueled by a projected improvement in the CASA ratio to ~24%, driven by ACB's superior digital cash management solutions for corporate clients, which effectively lowers the COF.

Sustainable Non-Interest Income growth at CAGR 13.5%, diversifying revenue mix: Non-II is expected to contribute ~20% to (TOI), driven by strategic pillars:

[1] Service income recovery: Following market headwinds, we anticipate a steady revival in bancassurance fees as consumer confidence returns. Simultaneously, card fees and transaction banking services are set to accelerate, leveraging the cross-selling opportunities within the expanding corporate client base.

[2] Trade finance and FX synergies: as ACB captures a larger share of the FDI and export-import sector, fee income from trade finance and foreign exchange trading is forecast to grow at double digits, creating a natural hedge against interest rate volatility**.**

[3] Conservative investment gains: We adopt a prudent outlook for securities trading and other income with a modest 8.3% growth assumption, reflecting a high-quality earnings profile less reliant on volatile one-off gains.

Best-in-class Operating Efficiency with CIR maintained at ~32%: ACB continues to demonstrate superior cost discipline. Despite the need for continued investment in digital transformation and human capital to support the wholesale expansion, we forecast the Cost-to-Income Ratio (CIR) to remain stable at 32% throughout the forecast period, eventually trending towards 31%. This efficiency is achieved through the "Digital First" strategy, where automation and digitization of core processes (e.g., eKYC, automated credit underwriting) decouple revenue growth from headcount growth, generating positive operating jaws.

ACB's projected profit after tax trajectory from 2020 through your 2030F scenario shows a credible and sustainable recovery driven by steady credit expansion, improving fee and non-interest income, and disciplined cost control — a pattern consistent with management's stated strategy of retail-led growth and efficiency improvement. Management guidance and the bank's investor materials highlight a deliberate emphasis on retail CASA, selective corporate lending and digitalisation to lift non-interest income and keep the cost-to-income ratio low, supporting recurring profitability.

ACB's operating cost trajectory between 2025F–2030F with a 15.5% CAGR in total operating expenses (OpEx), below projected revenue growth — creating meaningful operating leverage. Personnel expenses are assumed to grow at 12% per annum, driven primarily by rising average compensation per employee, while headcount increases only 2% annually, reflecting ACB's digitalization and process-automation initiatives; notably, headcount reportedly declined ~3% in 2024 and further ~2% in the first half of 2025. Concurrently, non-personnel costs are projected to rise at 19% per annum, reflecting sustained and elevated investment in IT infrastructure, cybersecurity, digital-banking capacity, and customer acquisition platforms. Under these assumptions, the bank's projected cost-to-income ratio (CIR) declines to 28.5% by 2030F, down from ~32.6% at end-2024 — signaling improving cost efficiency and favorable operating leverage as revenue scales. This cost-structure profile indicates a disciplined but growth-oriented management strategy: constraining personnel growth while committing to heavy technology and process-oriented investments, aiming for a leaner, more scalable platform without sacrificing near-term profitability.

RESIDUAL INCOME (EXCESS RETURNS)

To quantify the intrinsic value of Asia Commercial Bank (ACB), we employ a blended valuation methodology, assigning equal weight (50:50) to the Residual Income Model (RIM) and Relative Valuation. This dual approach is designed to capture both the bank's capacity to generate sustainable long-term economic cash flows and the market's near-term re-rating expectations. Synthesizing these outputs, we derive a 12-month target price of VND 30,990, implying an attractive upside potential and a sufficient margin of safety for long-term accumulation.

Cost of Equity and a Prudent Stance in a Volatile Era

The foundation of our valuation model rests on a conservative risk framework. We establish ACB’s Cost of Equity (ke) at 14.13%. This figure reflects the necessary risk premium within a frontier market context, derived from a risk-free rate of 4.00% (benchmarked against the 10-year Government Bond yield) and an Equity Risk Premium (ERP) of 10.03%. Notably, ACB’s Beta is pegged at 1.01—significantly lower than that of private banks with aggressive risk appetites—evidencing the stability of its business model and its resilience against macroeconomic shocks. This 14.13% discount rate serves as a rigorous "hurdle rate" to ensure that any recognized surplus value is truly high-quality.

Market expectations re-rating opportunity

Parallel to intrinsic value, the P/B comparative method reveals a distinct re-rating opportunity. Currently, ACB trades in the valuation range of 1.3x–1.4x P/B, a discount that fails to reflect its position as the bank with the Best-in-class Asset Quality. While Vietcombank (VCB) anchors at a valuation of >2.4x P/B due to state backing, ACB merits a "Quality Premium" over the remaining private banking peers that are weighed down by bond market risks.

Based on the regression line correlating P/B with the sector's projected ROE, we determine a justifiable target P/B multiple for ACB at 1.50x. Applying this multiple to the projected 2026 Book Value, the comparative method yields a price of VND 32,781 per share. This represents a rational convergence as the market gradually recognizes ACB as a "safe haven," narrowing the gap between market price and real value.

Table 6. Model Assumptions

Parameter	Value
Risk-free Rate (Rf)	4.00%
Market Risk Premium (ERP)	10.03%
Beta	1.01
Cost of Equity (k_e)	14.13%
Target ROE	20.19%
Target Payout Ratio	23%
Long-term Growth Rate (g)	3.00%
Forecast Horizon	2025F–2030F
Current Year Base	2025

Source: Team analysis

Table 7. RIM Model Indicators & Outputs

Indicator	2025F	2026F	2027F	2028F	2029F	2030F
Equity (mn VND)	95,851	111,752	130,219	151,730	176,815	206,228
Net Profit After Tax (mn VND)	17,275	21,201	24,622	28,681	33,448	39,216
Shares Outstanding (mn shares)	5,136.65	5,830.10	6,617.16	7,510.48	8,524.39	10,108.98
EPS (VND/share)	3,363	3,637	3,721	3,819	3,924	3,879
Book Value per Share (VND/share)	18,660	19,168	19,679	20,202	20,742	20,400
ROEA (%)	–	20.42%	20.35%	20.34%	20.36%	20.48%
Residual Income (VND/share)	–	1,175	1,193	1,223	1,259	1,271
Cumulative Discount Factor (times)	–	1.14	1.30	1.49	1.70	1.94
PV of Residual Income (VND)	–	1,029	916	823	742	680
Total PV of Residual Income (VND bn)						4,124
PV of Terminal Value (VND bn)						6,074

Source: Team analysis

Intrinsic value affirmed via Residual Income Model

We consider the RIM to be the "compass" that most accurately reflects ACB’s financial DNA. With a projected Return on Equity (ROE) maintaining stability around 20.4% over the 2025–2030 horizon, ACB consistently generates a positive spread of approximately 6% over its cost of capital. This is the source of the sustainable Economic Profit that shareholders enjoy. To avoid excessive optimism, we cap the Terminal Growth rate at a modest 3.0%—below the projected nominal GDP growth—to mitigate the risk of inflating the terminal value. The output from the RIM positions ACB’s intrinsic value at VND 29,198 per share, reinforcing the bank’s solid fundamental capabilities.

Sensitively analysis

Cost of equity as the primary driver consistent with the mechanics of the RIM, our valuation implies that the equity value is less dependent on the terminal growth assumption but exhibits high sensitivity to the cost of equity. Terminal growth stability (g): As illustrated in the sensitivity matrix, a ±50 bps shift in g (e.g., from 3.00% to 3.50%) results in a marginal impact on the target price (approximately ~1.3% variation). This reflects the high visibility of ACB’s earnings in the explicit forecast period. CoE sensitivity is conversely, the model is highly responsive to discount rate assumptions. A ±60 bps shift in CoE (e.g., from 13.5% to 14.1%) alters the target price by approximately ~7.5%. Amid the current environment of interest rate volatility, this sensitivity warrants close attention. However, even under a stress scenario with CoE rising to 15.0%, the valuation floor remains around VND 26,158, which is still above the current market price, reinforcing the margin of safety in our recommendation.

Table 8 . Sensitively Analysis

Cost of Equity	2.00%	2.50%	3.00%	3.50%	4.00%
13.0%	30,542	30,939	31,377	31,860	32,397
13.5%	29,189	29,522	29,887	30,288	30,731
14.1%	27,644	28,410	29,199	29,516	29,863
14.5%	26,809	27,041	27,293	27,569	27,870
15.0%	25,756	25,949	26,158	26,385	26,633

Source: Team analysis

VALUATION

Table 9. Peer Benchmarking Analysis

Bank	Country	Mkt Cap (USD mn)	PBT CAGR	Loan CAGR	NIM (%)	ROE (%)	ROA (%)	NPL (%)	LLR (%)	NII/TOI (%)	CIR (%)	P/B	P/B 5Y
ACB	VN	5383	17%	13%	3.7	21.2	2.1	1.5	77.9	77.9	30.5	1.6	1.5
VPB	VN	10495	8%	21%	5.9	11.4	1.4	4.2	56.3	50.6	28.7	1.9	1.7
VIB	VN	2961	1%	13%	3.8	18.6	1.3	3.5	50.9	76.1	33.2	1.8	1.8
Kasikornbar	TH	12531	3%	0%	3.7	8.8	1.1	3.7	141.6	70.9	40.4	0.7	0.7
Public Bank	MY	19641	3%	3%	1.9	12.8	1.4	0.5	164.9	62.3	34.9	1.4	1.6
Hong Leong Bank	MY	10270	6%	9%	1.4	11.2	1.4	0.5	96.8	63.3	38.7	1.3	1.2
IndusInd Bank	IN	6703	26%	5%	2.7	5.4	0.6	1.6	0.8	59.2	60.7	1.3	1.2

Source: VDSC

MULTIPLE VALUATION

We employ the Price-to-Book (P/B) methodology as our primary valuation framework for ACB , as it better reflects the intrinsic value of net assets for banking institutions. The majority of a bank's assets (primarily loans and investment securities) and liabilities (deposits, certificates of deposit) are recorded at historical cost (or discounted for credit risk provisions). This metric also provides superior insight into loan portfolio risk, asset quality, and ROE profitability compared to the P/E approach, which exhibits greater volatility and sensitivity to macroeconomic factors such as interest rate cycles and economic conditions.

Historical P/B Analysis and Valuation Gap

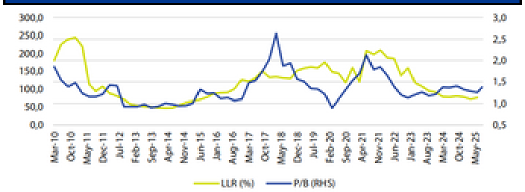
ACB currently trades at a 2025F P/B of 1.35x, trending upward toward its 5-year rolling average of 1.45x. The discount to the 5-year average emerged in mid-2022 due to:

[1] External pressures: Vietnam's exchange rate and interest rate volatility driven by global monetary tightening

[2] Corporate bond market crisis: Liquidity stress in the domestic bond market

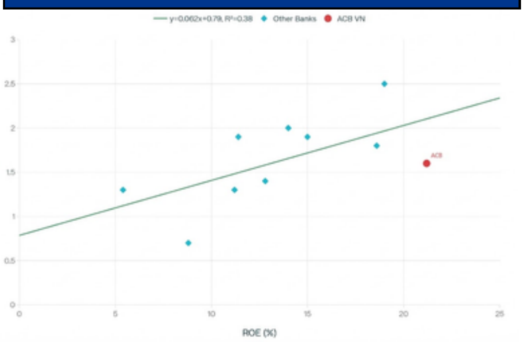
[3] SCB incident aftermath: Industry-wide NPL surge following the SCB collapse, elevating sector-wide credit risk concerns

Figure 31.Historical valuation of P/B and LLR



Source: Bloomberg

Figure 32. Regression analysis



Source: Team analysis

P/B and LLR Coverage Ratio Correlation:

Examining ACB's historical P/B dynamics and intrinsic fundamentals, we observe a positive correlation between P/B and Loan Loss Reserve (LLR) coverage ratio (excluding abnormal equity market periods: 2017-2018 IPO-driven banking sector inflows and 2020-2021 COVID-19 pandemic). Over the past years, LLR ratio movements have exhibited a lag relative to P/B movements, suggesting ACB's valuation tends to anticipate changes in asset quality ahead of actual provisioning. Notably, P/B has shown no clear correlation with ROAE since 2018, despite profitability being a fundamental determinant of fair valuation for ACB and the banking sector broadly.

Regression of P/B against ROE across ASEAN banks (Figure 102) yields:

P/BV=10.086×ROE(%)+0.5518, R^2 =0.4106

At ACB's 2025F ROE of 20.8%, the regression-implied P/BV is approximately 2.65x, substantially above current trading multiples. Even controlling for the low R^2 (0.41, indicating ~40% of P/B variance explained by ROE), ACB's current P/BV of 1.6x appears materially undervalued relative to both peers with similar profitability profiles and the regression-fitted value.

The 15% domestic peer premium (1.50x target vs. 1.60x industry median) is well-justified by ACB's superior asset quality, consistent ROE outperformance, and digital banking leadership. At the current trading P/BV of 1.6x, ACB trades substantially below its Justified P/BV of 1.66x and regression-implied value of 2.65x, presenting a compelling value opportunity. The compression from 2017–2018 IPO peak valuations and 2022–2023 sector stress has created an attractive entry point for investors seeking exposure to best-in-class Vietnamese retail banking with fortress-like balance sheet quality

INVESTMENT RISKS

MACROECONOMIC AND POLICY RISK

[MA1] Rising inflation and higher funding costs may pressure NIM (Moderate impact, Moderate probability)

With inflation expected to move from about 3.6% in 2024 towards 4.5%–5.0% in 2025, tighter SBV policy could push up ACB's cost of funds and compress NIM; this risk is partly offset by a c.23% CASA ratio and a loan book where ~90% reprices every 1–3 months, allowing relatively fast pass-through of higher funding costs.

[MA2] Global trade and geopolitical frictions may challenge the export–FDI growth story (Moderate impact, Moderate probability)

A weaker global trade environment or new non-tariff barriers could slow growth and fee income from ACB's export–import and FDI clients, but the bank is mitigating this by deepening higher-value relationships through integrated trade-finance, FX and cross-border cash-management solutions rather than relying only on plain lending.

CREDIT RISK

[CR1] Economic downturn or property weakness may drive an NPL upturn (High impact, Low–Moderate probability)

NPLs have risen to around 1.5% at end-2024 and could climb further in a sharper downturn or real-estate correction, though this is cushioned by a very conservative profile, with ~96% of loans secured, 84%–86% collateralised by real estate, no corporate bond book and only immaterial exposure to high-risk developers.

[OP2] Transparency and ESG alignment gaps may limit access to premium capital (Moderate impact, Moderate probability)

Over 2025–2030, loans to large corporates and FDI clients are expected to grow at a CAGR of about 21%, shifting ACB's book away from a purely retail profile and increasing exposure to less granular, more concentrated borrowers. This is anchored in a Basel II/III-aligned risk framework, with management simultaneously rebuilding NPL coverage from 77.9% in 2024 to a target above 100% from 2029, strengthening the buffer against potential credit losses from these new growth pillars.

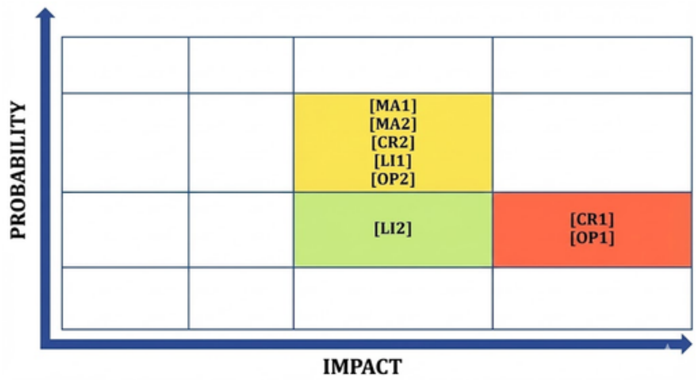
LIQUIDITY AND COMPETITION RISK

[LI1] Fierce CASA competition may delay CASA uplift and deepen NIM pressure (Moderate impact, Moderate probability)

A "red-ocean" retail funding market could slow CASA improvement and keep funding costs elevated just as NIM approaches a projected trough of c.3.10% in 2025F; ACB's response is to lock in primary transaction flows via digital platforms such as ACB ONE CONNECT, e-invoicing and tax-linked accounts to secure sticky CASA.

[LI2] Capital and credit-quota constraints may cap loan growth (Moderate impact, Low probability)

Although ACB's CAR of around 11.8% at end-2024 (Basel II) sits comfortably above the 8% minimum, sustaining around 18.5% credit CAGR still depends on supportive SBV quotas, which could tighten under a more conservative stance. This risk is softened by ACB's focus on productive sectors (trade, manufacturing, business households), which tend to receive better quota allocation, and by a low SMLR of 18.8% in 2024, leaving meaningful room to grow medium/long-term, higher-yield loans without needing near-term Tier-2 capital.



Source: Team analysis

OPERATIONAL AND GOVERNANCE RISK

[OP1] Insider tilt and IT/cyber incidents could disrupt operations (High impact, Low probability)

Despite being rated "Good to Excellent" in governance, ACB's Board still has an insider tilt and fast digitalisation with around USD 35 millions per year IT spending adds operational and cyber risk; these are partly offset by a Basel II-based risk framework, a VND 500bn Technology Fund, migration to the DNA core system, and strong cost discipline, as shown by CIR improving from 52% in 2019 to 33% in 2024.

[OP2] Transparency and ESG alignment gaps may limit access to premium capital (Moderate impact, Moderate probability)

Remaining gaps in disclosure, data protection and ESG alignment could constrain access to cheaper multilateral or ESG-labelled funding; the bank is addressing this via a 2025–2030 ESG roadmap that embeds E&S risk into credit processes, expands standalone sustainability reporting and leverages early Basel II / progressive Basel III and ILAAP adoption to build credibility with global investors.

Appendix I. Income Statement

Income Statement	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Interest and similar income	31,856	33,714	40,699	52,347	50,903	58,325	69,699	81,896	95,819	111,629	130,047
Interest and similar expenses	(17,274)	(14,769)	(17,165)	(27,387)	(23,108)	(31,499)	(37,484)	(44,418)	(52,414)	(61,324)	(70,522)
Net Interest Income	**14,582**	**18,945**	**23,534**	**24,960**	**27,795**	**26,826**	**32,215**	**37,478**	**43,405**	**50,305**	**59,525**
Fee and commission income	2,803	4,026	5,058	4,946	5,465	5,236	6,022	6,925	7,964	9,158	10,532
Fee and commission expenses	(1,109)	(1,132)	(1,531)	(2,023)	(2,226)	(2,084)	(2,302)	(2,647)	(3,044)	(3,501)	(4,026)
Net Fee and Commission Income	**1,695**	**2,894**	**3,526**	**2,922**	**3,239**	**3,152**	**3,720**	**4,278**	**4,920**	**5,658**	**6,506**
Net gain/(loss) from dealing in foreign currencies	687	872	1,048	1,110	1,171	2,126	2,403	2,715	3,068	3,467	3,918
Net gain/(loss) from trading securities	167	450	(388)	168	200	570	616	665	718	776	838
Net gain/(loss) from investment securities	732	244	21	2,647	450	593	652	717	789	868	955
Other operating income	495	703	1,110	1,197	1,266	2,425	2,425	2,425	2,425	2,425	2,425
Other operating expenses	(216)	(564)	(121)	(334)	(642)	(1,118)	(1,118)	(1,118)	(1,118)	(1,118)	(1,118)
Net gain/(loss) from other operating activities	280	139	990	863	624	1,306	1,306	1,306	1,306	1,306	1,306
Income from investments in other entities	19	20	59	76	36	107	107	107	107	107	107
Total Operating Income	**18,161**	**23,564**	**28,790**	**32,747**	**33,515**	**34,681**	**41,019**	**47,267**	**54,313**	**62,486**	**73,154**
Operating Expenses	(7,624)	(8,230)	(11,605)	(10,874)	(10,903)	(11,197)	(12,306)	(14,180)	(16,022)	(18,121)	(21,215)
Net Operating Profit Before Credit Loss Expense	**10,537**	**15,334**	**17,185**	**21,872**	**22,612**	**23,484**	**28,713**	**33,087**	**38,291**	**44,365**	**51,940**
Provision for Credit Losses	(941)	(3,336)	(71)	(1,804)	(1,606)	(1,868)	(2,235)	(2,332)	(2,463)	(2,579)	(2,943)
Profit Before Tax	**9,596**	**11,998**	**17,114**	**20,068**	**21,006**	**21,616**	**26,478**	**30,754**	**35,827**	**41,786**	**48,997**

Appendix II. Balance Sheet

Balance Sheet	2020	2021	2022	2023	2023	2024	2025	2026	2027	2028	2029	2030
Cash, gold and gemstones	6.967.918	7.509.877	6.909.300	8.460.892	5.669.496	7.460.000	7.951.187	8.47.608	8.76.089	9.033388	9.424.411	3.355.107
Placements with the State Bank lloons to other credit	16.61.745	33.49.776	11473.811	8571.311	17,89,759	122.84.77	1221.486	340.398	406.284	492.748	463,743	153.883
Trading securities	54.473	226.545	-	1002	5.992	5.992	5.992	5.992	5.992	5.992	5.992	5.992
Dnvestment securities	**508.821**	**356.050**	**482,340**	**408.556**	**710.652**	**139.694**	**161.484**	**186.191**	**197.577**	**210.485**	**210.483**	**223,832**
Fixed assets	3.78.753	11.245	40.821	46.816	24.995	13.774	12.774	14.774	13.774	14.774	15.774	15.774
Investment properties	3.48.878	276.427	47.661	17.085	17.085	13.1.141	103.544	74.054	85.993	103.544	104.668	105.544
TOTAL ASSETS	**445,104**	**577,944**	**794,057**	**607,855**	**865,003**	**1,09,772**	**1.34.541**	**1.95,553**	**1.34,777**	**1.74.813**	**1.88,116**	**2.56.665**
Borrowings from the Government and the - and the			88	505.876	7.95.453							
Deposits and borrowings from other credit	23.875.22	54.33.933	89.86.662	67.84.040	111.9.668	104.9.007	118.2.487	134.85.01	13.08.982	11.09.992	14.59.846	15.85.510
Deposits from customer	335.H9.833	379.20.660	482.702.771	41.952.789	537.0.576	631.32.78	741.6.133	871.63.56	1.024.169	1.243.989	1.409.631	1.489.666
Derivatives and other financial liabilities	116.706	86.066	41.534	60.188	28.008	22.008	22.456	22.456	22.456	22.456	22.456	22.456
Valuable papers issued	9.844.457	30.57.863	32.10.014	44.84.367	10.60.446	15.75.099	16.70.700	18.16.263	30.25.366	30.39.172	22.42.353	24.45.417
TOTAL LIABILITIES	**409.81.941**	**48.29.055**	**67.88.828**	**54.46.322**	**780.4.015**	**907.7.557**	**1.049.091**	**1.216.371**	**1.218.313**	**1.309.056**	**1.630.467**	**1.846.656**
Capital and reserves	21.887.364	27.21.260	39.12.283	34.46.100	44.93.338	51.68.586	51.68.886	51.65.366	51.63.888	51.63.366	51.63.586	51.68.386
Reserves	5.741.759	7.04.257	11.57.456	9.20.125	14.78.588	-1.30.500	-311.098	-319.534	-319.534	-319.334	-319.534	-319.534
Retained earnings	7.810.000	10.45.902	20.88.295	15.17.408	23.73.732	27.15.101	39.71.533	5.64.645	5.44.534	71.85.531	91.92.537	15.42.408
OWNERS' EQUITY	**33.448.188**	**44.90.900**	**70.95.951**	**58.48.663**	**84.61.678**	**95.51.013**	**1112.052**	**120.2294**	**1319.974**	**1576.178**	**1.815.508**	**2.062.645**
TOTAL LIABILITIES AND OWNERS' EQUITY	**44.530.104**	**57.79.944**	**70.74.559**	**60775.155**	**84.05.703**	**1.099.998**	**1.453.776**	**1.366.316**	**1.543.678**	**1.780.641**	**2.055.777**	**2.052.182**

Appendix III. Finnacial Ratio

	2022	2023	2024	2025F	2025F	2027F	2028F	2029F	2030F
PROFITABILITY									
Avg. Yield on Loans	9,20%	9,90%	7,90%	7,68%	7,70%	7,64%	7,33%	7,33%	7,15%
Avg. Cost of Funding	3,80%	5,40%	3,70%	3,54%	3,65%	3,73%	3,81%	3,91%	3,91%
Avg. Yield on Earning Assets	7,40%	8,10%	6,30%	6,39%	6,55%	6,62%	6,78%	6,82%	6,82%
Cost of Funds	410,00%	4,90%	3,30%	3,54%	3,65%	3,73%	3,84%	3,91%	3,91%
NIM	4,30%	3,90%	3,60%	2,73%	2,83%	2,84%	2,86%	2,87%	2,95%
ROAE	26,50%	24,80%	21,70%	19,27%	20,42%	20,35%	20,34%	20,36%	20,48%
ROAA	2,40%	2,40%	2,10%	1,84%	1,95%	1,96%	1,98%	2,01%	2,04%
ASSET QUALITY									
NPL Ratio	0,70%	1,20%	1,50%	1,20%	1,10%	1,00%	0,90%	0,80%	0,80%
Net NPL Formation (VND bn)	1.178.000	4.129.000	2.995.000	3.044.102	3.720.746	4.375.562	4.977.152	5.484.169	7,416.654
Net NPL Formation Ratio	0,30%	0,90%	0,60%	0,10%	0,11%	0,10%	0,10%	0,09%	0,24%
Credit Cost	-	0,40%	0,30%	0,29%	0,27%	0,25%	0,23%	0,21%	0,21%
LLR (Coverage Ratio)	159,00%	91,00%	78,00%	110,35%	107,64%	105,47%	104,85%	104,15%	103,17%
OPERATIONAL INDICATORS									
Net Interest income / TOI	82,00%	76,00%	83,00%	77,75%	78,54%	79,29%	79,92%	80,51%	81,37%
Net Fee Income / TOI	12,00%	9,00%	10,00%	9,90%	9,07%	9,05%	9,05%	9,05%	8,89%
Other Income / TOI	6,00%	15,00%	7,00%	13,56%	12,39%	11,66%	11,03%	10,44%	9,74%
CIR (Cost to Income Ratio)	40,00%	33,00%	33,00%	32,29%	30,00%	30,00%	29,50%	29,00%	29,00%
Assets / Equity (Leverage)	10,4	10,4	10,4	10,47	10,39	10,34	10,19	10,07	9,95
DIVIDENDS									
Cash Dividend (VND/share)	-	1.000	1.000	1.000	1.000	1.000	1.000	1.000	1.000
Payout Ratio	0	24,00%	27,00%	29,73%	27,74%	27,35%	26,88%	26,40%	25,78%

Appendix IV. Investment risk

Risk	Mitigating factors
Macroeconomic & policy	
Rising inflation and higher funding costs	High CASA base and short loan repricing cycle
Global trade and geopolitical tensions	Deeper trade-finance ecosystem with FDI and export–import clients
Credit	
NPLs rising in an economic slowdown	Very high collateralisation and negligible exposure to risky developers / corporate bonds
Risk from shifting into large corporates and FDI	Basel II/III framework and a deliberate rebuild of LLR >100%
Liquidity & competition	
Fierce CASA competition and NIM pressure	Embedding into customers' transaction flows via digital platforms
Capital and growth constraints from SBV quotas	Productive-sector lending focus and low short-term funding ratio
Operational & governance	
Internal governance/IT failures and cyber risk	Strong risk framework, Tech Fund and upgraded core-banking platform
Transparency / ESG gap vs global standards	2025–2030 ESG roadmap and progressive alignment with international norms

Appendix VI. Board of directors

Mr. Tran Hung Huy (Chairman)
He has been a member of ACB's Board of Directors since 2006 and Chairman since 2012. Joining ACB in 2002, he held several key roles, including Marketing Director, Head of Human Resources Management, and Deputy General Director. He also worked as Assistant Director of the Financial Institutions M&A Advisory Group at Rothschild & Co in the UK (2010–2011). He holds a bachelor's degree in business administration, finance, and international business (2000) and an MBA (2002) from Chapman University, USA, and a Doctorate in Business Administration from Golden Gate University, USA (2010).

Mr. Nguyen Thanh Long (Vice Chairman)
He has been a member of ACB's Board of Directors since 2012 and Vice Chairman since 2013. He previously served as CEO of Saigon Jewelry Company (SJC), Chairman of Eximbank, and Chairman of Rong Viet Securities, and he is currently Chairman of Bao Long Insurance. He holds a bachelor's degree in commerce and a postgraduate certificate in banking and monetary studies from Van Hanh University, as well as a bachelor's degree in English from Hanoi University of Foreign Languages.

Mr. Hiep Van Vo (Board Member)
He has been a member of ACB's Board of Directors since 2018. His career includes senior leadership roles at Citi Group, Vietnam Partners LLC, Deutsche Bank, and VIGroup, and he has served as Managing Director of CVC Asia Pacific (Singapore) since 2005. He holds a bachelor's degree in engineering physics from the United States Military Academy at West Point and an MBA from Harvard Business School.

Ms. Dinh Thi Hoa (Board Member)
She has been a member of ACB's Board of Directors since 2013 and previously served on the Supervisory Board (1998–2007). She has held senior roles across multiple companies, including Thien Ngan Film, Thien Viet Securities, Galaxy Media & Entertainment, Galaxy Play, and REE Corporation, and earlier worked at the Ministry of Foreign Affairs and the World Food Programme. She holds a bachelor's degree in international journalism from MGIMO University, Russia, and an MBA from Harvard Business School.

Mr. Nguyen Van Hoa (Board Member)
He has been a member of ACB's Board of Directors since April 2023. Joining ACB in 1995, he served as Chief Accountant of the Da Nang Branch and later Chief Accountant at Head Office before being appointed Chief Financial Officer in 2015 and Deputy CEO in 2017. He holds a bachelor's degree in economics and a master's degree in banking and finance from the Banking University of Ho Chi Minh City.

Mr. Trinh Bao Quoc (Independent Board Member)
He has served as an independent member of ACB's Board of Directors since April 2023. His career spans roles at Avenue Capital Group, Summa Education, SonKim Land, Eximbank, Thien Huong Co., and the Vietnam Industrial Park Group. He holds bachelor's degrees in biology and history from the University of Kansas, USA, and an MBA from the Berkeley Haas School of Business, University of California.

Ms. Dang Thu Thuy (Board Member)
She has been a member of ACB's Board of Directors since 2011. She joined ACB at its founding in 1993 and held key roles including Chief of Staff and Head of Human Resources Management. She holds a bachelor's degree in economics from the University of Economics Ho Chi Minh City and a bachelor's degree in foreign languages from the University of Social Sciences and Humanities.

Mr. Do Minh Toan (Board Member)
He has served as a member of ACB's Board of Directors since April 2023. Joining ACB in 1995, he held various senior leadership roles including Head of Corporate Banking, Deputy CEO, CEO, and Assistant to the Chairman. He currently serves as Chairman of ACBS and previously worked at ING Barings Representative Office (1993–1995). He holds bachelor's degrees in banking, foreign trade management, and law from universities in Ho Chi Minh City, and an MBA from Columbia Southern University, USA.

Mr. Dam Van Tuan (Board Member)
He has been a member of ACB's Board of Directors since 2012. Joining ACB in 1994, he progressed through roles including Deputy Branch Director, Branch Director, Head of International Relations, Head of Strategy, Chairman and CEO of ACBA, and Head of Human Resources, and was appointed Deputy CEO in 2001. Earlier in his career, he was a lecturer in English and Chinese. He holds a master's degree in linguistics, a bachelor's degree in economics, and a master's degree in banking and finance from universities in Vietnam and Switzerland.

Appendix V. Board of management

Mr. Tu Tien Phat (Chief Executive Officer)
He joined ACB in 1996 and progressed through key roles including Deputy Head of Credit, Branch Director, Deputy Director, Head of Retail Banking, and Deputy CEO in 2015. He was appointed CEO in January 2022. He holds a bachelor’s degree in finance and credit economics and an MBA from the University of Economics Ho Chi Minh City.

Mr. Bui Tan Tai (Standing Deputy General Director)
Joined ACB in 1995. Experienced the following positions: Director of Personal Customer Division, Director of Information Technology Division, and Director of Operations Division (from January 2023.) Appointed Deputy General Director in 2007. Graduated with a bachelor's degree in economics from City Banking University. Ho Chi Minh, bachelor of business administration from University of Economics Ho Chi Minh City. Ho Chi Minh, and a master's degree in business administration from the University of Southern California, USA.

Ms. Nguyen Thi Hai (Deputy General Director)
Joined ACB in 1993. Experienced the following positions: Head of Credit Department, Director of Transaction Department (now Ho Chi Minh City Branch) from 2002 to 2011. Appointed Deputy General Director in 2011. Graduated with a bachelor's degree in banking from the City University of Economics. Ho Chi Minh.

Mr. Nguyen Duc Thai Han (Deputy General Director)
Joined ACB in 1994. Experienced the following positions: Deputy Head of Research and Development Department, Deputy Head of Credit Department, Head of Monetary Business Department, Director of Treasury Division, Director of Financial Market Division. He is currently Vice Chairman of the Board of Members of ACB Securities Company Limited (ACBS.) Appointed Deputy General Director in 2008. Graduated with a bachelor of science degree in theoretical physics from Ho Chi Minh City University. Ho Chi Minh.

Mr. Nguyen Van Hoa (Deputy General Director)
Joined ACB in 1995. Experienced the following positions: Chief Accountant of Da Nang Branch, Chief Accountant of Head Office, and Chief Financial Officer (since 2015.) Appointed Deputy General Director in 2017. Member of the Board of Directors of ACB from April 2023. Graduated with a bachelor's degree in economics and a master's degree in banking and finance from City Banking University. Ho Chi Minh.

Mr. Nguyen Khac Nguyen (Deputy General Director)
Joined ACB in 2006. Experienced the following positions: Director of Internal Communications, Director of Communications and Brand Management, Deputy Director of Human Resources Management, Director of Learning Center, and Director of Human Resources Management (since 2017.) Appointed Deputy General Director in 2022. Graduated with a bachelor's degree in finance, currency, and banking from the University of Economics, City. Ho Chi Minh, and a master's degree in international business from Curtin University, Australia.

Mr. Ngo Tan Long (Deputy General Director)
Joined ACB in 2008. Experienced the following positions: Head of Credit Analysis Department, Deputy Director of Corporate Customer Division cum Director of Corporate Credit Approval Center, Branch Director, and Regional Director. Appointed Deputy General Director in 2023. Graduated with a bachelor's degree in business administration and a master's degree in economics from the City University of Economics. Ho Chi Minh.

Mr. Dam Van Tuan (Deputy General Director)
Joined ACB in 1994. Experienced the following positions: Deputy branch director, branch director, Head of International Relations, Head of Strategy Department, President and General Director of Asia Bank Asset Exploitation and Debt Management Company Limited (ACBA), Director of Human Resource Management Division. Before that, he was an English and Chinese lecturer. Appointed Deputy General Director in 2001. Member of the Board of Directors of ACB from 2012 to present. Graduated with a master's degree in Literature from the University of Social Sciences and Humanities, Ho Chi Minh City. Ho Chi Minh, bachelor of economics from University of Economics Ho Chi Minh City. Ho Chi Minh City, and a master's degree in banking and finance from the University of Applied Sciences Northwestern Switzerland.

Ms. Nguyen Thi Tuyet Van (Deputy General Director)
ACB Joined in 2008. Experienced the following positions: Director of Business Development, Director of External Relations (2013 - 2020). Before that, she worked at the State Bank City Branch. Ho Chi Minh. Appointed Deputy General Director in 2015. Graduated with a bachelor's degree in economics from City Banking University. Ho Chi Minh City and a bachelor's degree in economic law from Ho Chi Minh City University of Law. Ho Chi Minh.